

DIPLOMATIC WORKING DOCUMENT — MODULAR
ANNEX

ANNEX D

Phase II Deadlock Mechanism

Procedural Pathway for Resolving Kernel Deadlock Without Collapse

Modular · Self-Contained · Incorporable by Reference
MOU Pertaining to PEACE (v7.0) · June 2026

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Preamble

The *Memorandum of Understanding Pertaining to PEACE* (the "MOU") establishes a phased architecture in which Phase II (the "Kernel") constitutes a contained asymmetry: Iran neutralizes its weapons-grade material; the United States converts reversible relief into structural relief. The Parties recognize that this moment of deepest mutual exposure carries the highest risk of deadlock.

This Annex establishes a procedural pathway for resolving a deadlock in Phase II without collapsing the entire MOU. It ensures that a failure to complete the contained asymmetric concessions does not trigger automatic termination, and that Phase I benefits continue while the Parties pursue resolution. The architecture treats deadlock as a manageable procedural event, not as an existential threat to the framework.

The following principles govern the interpretation of this Annex:

- **Present-tense mutual architecture:** Each provision in this Annex functions as a feature of the shared framework, binding both Parties equally, rather than a unilateral restraint by one Party for the benefit of the other.
- **Progress preservation:** Deadlock resolution prioritizes the preservation of verified gains over the pursuit of unrealized objectives. Phase I benefits bank; Phase II ambitions wait.
- **No cliff-edge:** The framework architecture excludes any automatic termination trigger. Every pathway leads to continuation, never to collapse.
- **Procedural neutrality:** The deadlock resolution process treats both Parties symmetrically. Neither Party holds procedural advantage in the cooling-off, consultation, or arbitration phases.

This Annex addresses the failure mode that destroyed the JCPOA's follow-on negotiations: when talks stalled, both sides walked away and the entire framework collapsed. Annex D ensures that a Phase II stall becomes an extended Phase I, not a return to confrontation. The architecture makes falling back safer than walking away.

Article 1 — Purpose

This Annex establishes a procedural pathway for resolving a deadlock in Phase II (the "Kernel") without collapsing the entire MOU. The framework architecture achieves the following purposes through this Annex:

1. **Deadlock containment:** A Phase II deadlock localizes to the Kernel module. The nuclear custody, maritime transit, and economic relief tracks of Phase I continue unchanged regardless of Phase II status.
2. **Automatic cooling-off:** A deadlock notification triggers a 90-day cooling-off period without requiring mutual consent. The cooling-off activates on a single Party's written notification and proceeds automatically.
3. **Escalating resolution ladder:** If cooling-off fails, ministerial consultation follows. If consultation fails, binding arbitration follows. If arbitration fails, extended Phase I follows. Every rung of the ladder preserves what has been built.
4. **No-collapse guarantee:** Under no circumstances does a Phase II deadlock terminate the MOU. The exit ramp of Article 8.5 remains the sole mechanism for orderly withdrawal. Deadlock is not an exit trigger.
5. **Phase I benefit protection:** Throughout the entire deadlock resolution process — cooling-off, consultation, arbitration, and extended Phase I — all Phase I benefits remain in force. Neither Party uses the deadlock as leverage to renegotiate Phase I terms.

The purpose of this Annex is procedural, not substantive. It does not resolve the substantive disagreement that caused the deadlock; it creates the process through which the Parties resolve it. The substantive resolution emerges from the cooling-off discussions, the ministerial consultation, or the arbitration ruling — but the framework ensures that whatever happens procedurally, the architecture survives.

Article 2 — Definition of Phase II Deadlock

2.1 Conditions Constituting Deadlock

A Phase II deadlock occurs when all three of the following conditions exist simultaneously:

- 1. Phase II entry confirmed:** The Parties have entered Phase II (Day 180 or later under MOU Article 11.2). The PCC has issued a Phase II Transition Certificate confirming that the four Phase I stripes hold a sustained compliance score of 75% across all stripes, with no single stripe below 60%, over the qualifying period.
- 2. Kernel milestones uncertified:** The Kernel milestones — verified neutralization of the 60% HEU stockpile and corresponding structural relief conversion — are not certified by the IAEA and PCC as complete. Specifically, either (a) the IAEA has not issued a National HEU Neutralization Certificate under Part B-1.2, or (b) the PCC has not issued a Structural Relief Conversion Certificate confirming that the United States has placed its Phase II concessions beyond reversal.
- 3. Written deadlock notification:** Either Party notifies the PCC in writing that it believes the Kernel cannot be completed within the remaining Phase II window due to disagreement over technical, legal, or political terms, and the other Party does not agree on a path forward within 30 days of such notification.

The 30-day response window starts on the date the PCC transmits the notification to the other Party. The other Party's silence or failure to respond within 30 days constitutes non-agreement for the purposes of this Article. A response that proposes a path forward but does not secure the notifying Party's agreement also constitutes non-agreement.

2.2 Exclusions from Deadlock

The following conditions do not constitute a Phase II deadlock, even if they delay Kernel completion:

Condition	Rationale	Applicable Provision
Delays caused by verified technical or safety conditions (e.g., damaged site access, equipment failure, environmental hazard)	Technical delays are protected under the framework's learning-curve and force-majeure provisions	MOU Article 8.1 (Learning Curve); Article 8.8 (Force Majeure); Annex H
Delays agreed in writing by both Parties	Mutual agreement to extend a deadline is cooperation, not deadlock	MOU Article 8.2 (Grace Day; Face-Saving Pause)

Temporary pauses or holds under the step-back/earn-back system	Step-back is a normal compliance management tool, not a structural failure	MOU Article 7.3; Annex T
Single-pathway disputes where other pathways remain available	A dispute over one Annex Z pathway does not constitute deadlock if alternative pathways are operable	Annex Z; Part B-1.1 (Modular Pathway Menu)
Disputes resolved within the 30-day response window	Responsive engagement within the window demonstrates good faith and precludes deadlock	This Article, paragraph 2.1(3)

2.3 Deadlock Notification Procedure

The deadlock notification follows a standardized procedure to ensure clarity and prevent abuse:

- 1. Written notification:** The notifying Party transmits a written deadlock notification to the PCC, specifying: (a) the Kernel milestone that is not being completed; (b) the nature of the disagreement (technical, legal, or political); (c) the notifying Party's assessment of why the disagreement is intractable; and (d) any proposed path forward that the notifying Party considers acceptable.
- 2. PCC transmission:** The PCC transmits the notification to the other Party within 48 hours of receipt and convenes an emergency session within 7 days.
- 3. 30-day response window:** The other Party has 30 days from PCC transmission to respond with either (a) a proposed path forward that addresses the notifying Party's concerns, or (b) a written statement explaining why it disagrees with the deadlock characterization.
- 4. Deadlock confirmation:** If the other Party does not agree on a path forward within 30 days, the PCC confirms the deadlock by issuing a Deadlock Confirmation Certificate. The 90-day cooling-off period activates automatically upon issuance of this certificate.
- 5. Good-faith presumption:** The PCC presumes good faith on both sides during the 30-day window. A Party that responds substantively — even if the response does not resolve the dispute — is not presumed to be acting in bad faith solely by virtue of disagreement.

The notification procedure is designed to prevent false deadlock claims. A Party that files a frivolous deadlock notification — one that lacks a good-faith basis, fails to specify the disagreement, or mischaracterizes an excluded condition as deadlock — faces reputational cost in the PCC and potential adverse findings in any subsequent arbitration. The procedure incentivizes genuine deadlock filings and discourages tactical use of the mechanism.

Article 3 — Cooling-Off Period

3.1 Automatic Activation

Upon issuance of the Deadlock Confirmation Certificate by the PCC, a mandatory 90-day cooling-off period activates automatically. The cooling-off requires no further act of either Party and proceeds on its own timeline.

The cooling-off period serves the following functions:

- It halts escalation by creating a procedural pause during which neither Party advances toward withdrawal.
- It preserves all Phase I benefits, ensuring that the deadlock does not become a pretext for benefit suspension.
- It creates space for technical working groups to address the specific obstacles to Kernel completion.
- It lowers the political temperature by deferring high-stakes decisions to a structured later stage.

3.2 Phase I Continuation During Cooling-Off

During the 90-day cooling-off period, all Phase I benefits continue unchanged. Specifically:

Benefit Track	Status During Cooling-Off	Non-Alteration Guarantee
Nuclear custody (dual-key, IAEA monitoring, enrichment cap at 3.67%)	Continues unchanged	Neither Party reopens custody arrangements or challenges the enrichment cap
Maritime transit (Hormuz open, non-interdiction protocol)	Continues unchanged	Neither Party suspends transit guarantees or imposes new conditions
Escrow releases (frozen-asset tranches on existing schedule)	Continue on schedule	Deadlock does not trigger step-back; tranches release on verified Phase I compliance, not Phase II progress
SWIFT reconnection	Continues unchanged	Existing bank connections remain operative; new connections proceed on Phase I milestones
Oil-export normalization	Continues unchanged	Export permits and PRDD channel remain active
Humanitarian firewall	Continues unchanged	One-way protection remains permanent regardless of deadlock status

Neither Party accelerates withdrawal or declares a material breach based solely on the deadlock during the cooling-off period. The cooling-off creates a protected space in which the deadlock is the problem being solved, not a justification for unilateral action.

3.3 PCC Facilitation Role

During the cooling-off period, the PCC convenes monthly to facilitate technical and political discussions. The PCC's facilitation role includes:

1. **Technical working groups:** The PCC establishes technical working groups composed of nuclear engineers, maritime experts, and financial specialists from both Parties to identify the specific technical obstacles to Kernel completion.
2. **Fact-finding:** The PCC commissions independent technical assessments of disputed factual questions (for example, whether a downblending rate is achievable, whether a structural relief mechanism is reversible).
3. **Shuttle diplomacy:** The PCC chair engages in shuttle diplomacy between the Parties, transmitting proposals and counter-proposals without requiring face-to-face sessions that might harden positions.
4. **Progress reporting:** The PCC issues a monthly Cooling-Off Progress Report to both Parties and the Guarantor Matrix, documenting discussions, identifying areas of convergence, and flagging remaining disagreements.

3.4 Amendment Proposals During Cooling-Off

Either Party proposes amendments to the Kernel terms or alternative pathways during the cooling-off period. Amendment proposals are not admissions of deadlock failure; they are constructive efforts to resolve the deadlock within the existing framework.

Valid amendment proposals include:

- A modification to the neutralization timeline or batch sequencing.
- A switch from one Annex Z pathway to another, including the in-country default pathways.
- A reconfiguration of the structural relief conversion to address reversibility concerns.
- A temporary assurance arrangement that covers the window between partial Kernel completion and full certification.

Amendment proposals are submitted to the PCC in writing and require mutual written agreement to take effect. The PCC facilitates discussion but does not impose amendments. If the Parties reach agreement on amendments during the cooling-off period, the deadlock resolves and Phase II resumes on the amended terms.

The amendment option is the preferred resolution pathway. It allows the Parties to adjust the Kernel to address the specific disagreement without abandoning Phase II entirely. The modular design of the Kernel (batch splitting, pathway menu, temporary assurance) provides multiple adjustment points that can accommodate good-faith disagreements without structural collapse.

Article 4 — Mandatory Consultation and Mediation

4.1 Ministerial Session

If the deadlock persists after 60 days of the cooling-off period, the Parties engage in a mandatory consultation session at the ministerial level. The session convenes within 14 days of the 60-day mark and lasts no more than 7 days.

The ministerial session operates under the following rules:

1. **Participants:** Each Party sends its foreign minister or equivalent-level official, accompanied by up to three technical advisors. The PCC chair and the primary facilitator (Pakistan) attend as neutral mediators.
2. **Location:** The session convenes in Geneva, Muscat, or another neutral venue agreed by the Parties. The venue rotates if multiple sessions are required.
3. **Agenda:** The PCC chair sets the agenda based on the Cooling-Off Progress Reports. The agenda focuses on the specific obstacles to Kernel completion, not on reopening Phase I terms or raising unrelated grievances.
4. **Confidentiality:** The session operates under the confidentiality rules of MOU Article 1.7. Neither Party makes public statements about the content of the session without mutual agreement.
5. **No preconditions:** Neither Party attaches preconditions to participation. Attendance is mandatory, not conditional on prior concessions.

4.2 Facilitation Team

The consultation session is facilitated by the Pakistan/Oman facilitation team, with the following roles:

Facilitator	Role	Authority
Pakistan (Primary Facilitator)	Mediates substantive discussions; proposes compromise formulations; maintains confidential back-channels with both Parties	Non-binding recommendations; no decision-making authority; accountability for neutrality under Annex R.a
Oman (Co-Facilitator)	Hosts the session; provides logistical support; maintains the official record; operates the de-confliction hotline	Administrative authority only; no substantive role in the negotiations
PCC Chair	Sets agenda; manages session protocol; issues joint statements if agreement is reached	Procedural authority; no substantive decision-making power

Guarantor	China and Russia attend as observers; provide	No vote; no veto; advisory
Matrix Observers	technical expertise on request; do not participate in the negotiations	input only on technical questions

4.3 Written Addendum

If the Parties reach a resolution during the ministerial session, they record it as a written addendum to the MOU. The addendum enters into force upon signature by both Parties' ministerial representatives.

The addendum process operates as follows:

1. The agreed resolution is drafted jointly by the Parties' legal advisors with facilitation by the PCC chair.
2. The draft addendum is transmitted to both capitals for review within 48 hours of the session's conclusion.
3. Each Party's ministerial representative signs the addendum within 14 days of transmission.
4. The signed addendum is deposited with the Joint Secretariat and enters into force immediately upon deposit.
5. The addendum has the same legal status as the MOU and its annexes and is subject to the same dispute-resolution mechanisms.

The addendum mechanism allows the Parties to adjust the Kernel without renegotiating the entire MOU. It is a surgical tool, not a wholesale rewrite. The addendum addresses only the specific disagreement that caused the deadlock; all other MOU provisions remain unchanged. This keeps the resolution focused and avoids the scope creep that often derails renegotiation attempts.

Article 5 — Binding Arbitration (PCA)

5.1 PCA Referral

If the cooling-off period and ministerial consultation do not resolve the deadlock, either Party refers the dispute to binding arbitration under the Permanent Court of Arbitration (PCA) in The Hague. The arbitration operates under the expedited procedures of Annex O, Article 6 (5–7 day ruling).

The PCA referral procedure is:

1. Either Party files a Request for Arbitration with the PCA Secretariat, copying the other Party and the PCC.
2. The Request specifies: (a) the deadlock issue; (b) the referring Party's proposed resolution; (c) evidence of good-faith efforts to resolve the deadlock through cooling-off and consultation; and (d) the remedy sought.
3. The PCA Secretary-General appoints a three-member tribunal within 7 days of the Request.
4. The tribunal convenes within 14 days of appointment and issues a ruling within 5–7 days of the first hearing.
5. The tribunal's ruling is binding on both Parties and is not subject to appeal.

5.2 Bad-Faith Determination

The arbitration tribunal determines whether the deadlock results from bad-faith obstruction by one Party or from genuine technical or political disagreement.

Bad-faith obstruction means conduct that demonstrates an intent to prevent Kernel completion without legitimate technical or policy justification. Indicators of bad faith include:

- A Party raises objections that it previously waived or agreed to.
- A Party demands conditions that were explicitly excluded from the MOU at signature.
- A Party refuses to engage in good faith during the cooling-off or consultation phases.
- A Party's stated objections are contradicted by its own technical experts' assessments.
- A Party takes actions outside the MOU that are designed to make Kernel completion impossible.

If the tribunal finds bad faith, the obstructing Party suffers a Tier-2 step-back limited to Phase II-linked benefits. Specifically:

- The obstructing Party's Phase II benefits (structural relief conversion, Joint Disposition Fund access, development-finance matching) are reduced by 15% for a period of 90 days.
- The obstructing Party has 60 days to cure the obstruction by complying with the tribunal's ruling.
- If the obstruction is cured within 60 days, the step-back is lifted and the Party is reinstated to full Phase II benefit eligibility.
- If the obstruction is not cured within 60 days, the referring Party may invoke the clean-break exit ramp of Article 8.5 without prejudice to its Phase I benefits.

5.3 No Bad-Faith Finding

If the tribunal finds no bad faith — meaning the deadlock results from genuine technical or political disagreement that both Parties approached in good faith — the tribunal issues one of the following:

1. **Recommended resolution (non-binding):** The tribunal proposes a resolution that addresses both Parties' legitimate concerns. The recommendation is not binding, but the PCC treats it as the baseline for further negotiations. A Party that rejects the recommendation without a credible alternative faces reputational cost and potential pressure from the Guarantor Matrix.
2. **Binding ruling (if both Parties agree in advance):** If both Parties agree in their arbitration submissions to accept a binding ruling on the disputed terms, the tribunal issues a binding ruling that resolves the deadlock. The ruling has the same legal force as an addendum under Article 4.3.

The choice between recommended resolution and binding ruling is made by both Parties jointly at the time of referral. Either Party may veto binding adjudication by requesting a recommended resolution only. A veto of binding adjudication is not a sign of bad faith; it is a sovereign procedural choice.

The bad-faith determination is the sharp edge of this Annex. It creates a real cost for obstruction while protecting genuine disagreement. A Party that acts in good faith but simply disagrees about the best path forward faces no penalty — only a recommended resolution that it can accept or reject. A Party that deliberately sabotages the Kernel faces graduated consequences. This distinction preserves the symmetry of the framework while creating accountability for bad faith.

Article 6 — Phase I Continuation Pending Resolution

Pending arbitration and for a period not to exceed 180 days after the start of the cooling-off period, Phase I benefits continue in full. Neither Party uses the deadlock as grounds for withdrawal unless the arbitration panel finds bad-faith obstruction and the obstructing Party fails to cure within 60 days.

The 180-day continuation period is calculated as follows:

- Days 1–90: Cooling-off period (Article 3).
- Days 61–90: Overlap period during which ministerial consultation may occur alongside cooling-off.
- Days 91–180: Post-consultation period during which arbitration proceeds or the Parties negotiate amendments.

If arbitration is invoked, the 180-day period extends automatically to accommodate the arbitration timeline, up to a maximum of 240 days from the start of the cooling-off period. The extension is automatic and requires no Party action.

During the continuation period, the following rules apply:

1. Phase I benefits continue on their existing schedules. The escrow release tranches, SWIFT reconnection tiers, and oil-export permits proceed as if no deadlock existed.
2. Neither Party introduces new conditions on Phase I benefits. The deadlock does not become a pretext for renegotiating Phase I terms.
3. The IAEA continues its Phase I verification activities (enrichment cap monitoring, dual-key custody, isotopic sampling) without interruption.
4. The Maritime Stability Board continues its Hormuz coordination functions.
5. The Joint Secretariat maintains its contact registry and monthly contact tests.

The 180-day (extendable to 240-day) continuation period is the safety net that prevents deadlock from becoming collapse. It tells both Parties: whatever happens in the dispute-resolution process, the verified gains of Phase I are not at risk. This is the architecture's most important message — that falling back is safer than walking away.

Article 7 — Fallback: Extended Phase I

7.1 Automatic Reversion

If the deadlock remains unresolved after arbitration (or if the Parties decline arbitration by mutual written agreement), the MOU automatically reverts to an extended Phase I for an additional 365 days. The reversion is automatic and requires no Party action.

The automatic reversion operates as follows:

1. The Joint Secretariat issues an Extended Phase I Certificate on the day after the arbitration deadline expires or the mutual declination is received.
2. The Certificate confirms that all Phase I obligations and benefits remain in force for 365 days from the date of issuance.
3. The Parties receive the Certificate simultaneously through the PCC communication channels.
4. No Party holds a veto over the reversion. The reversion is a procedural default, not a negotiated outcome.

7.2 Suspension, Not Cancellation

During extended Phase I, the Kernel milestones are suspended but not cancelled. The suspension operates as follows:

Kernel Element	Status During Extended Phase I	Reactivation Trigger
HEU neutralization (downblending or pathway execution)	Suspended at current status; material remains under dual-key custody	Mutual written agreement to re-enter Phase II
Structural relief conversion	Suspended; no new structural commitments are made	Mutual written agreement to re-enter Phase II
Joint Disposition Fund disbursements for Kernel milestones	Suspended; no new Fund disbursements for Kernel milestones	Mutual written agreement to re-enter Phase II; Fund disbursements resume from suspended point
Phase I benefits (all tracks)	Continue in full on existing schedules	Not applicable — Phase I benefits are independent of Kernel status
Dual-key custody of HEU stockpile	Continues unchanged	Not applicable — custody is a Phase I obligation that continues regardless

7.3 Re-Entry into Phase II

The Parties re-enter Phase II at any time during extended Phase I by mutual written agreement. The re-entry process operates as follows:

1. Either Party proposes re-entry to the PCC, specifying the terms on which it is prepared to resume the Kernel.
2. The PCC transmits the proposal to the other Party and convenes a session within 14 days.
3. If both Parties agree, they sign a Re-Entry Agreement that specifies the resumed Kernel terms, any adjustments agreed during the deadlock period, and a revised timeline.
4. The Re-Entry Agreement is deposited with the Joint Secretariat and enters into force immediately upon deposit.
5. The 365-day extended Phase I clock pauses upon re-entry; any remaining days are banked for future use if needed.

The extended Phase I is not a failure — it is a successful fallback. It means the Parties have preserved a year of verified compliance, continued economic relief, and open maritime transit while they work out their differences. At the end of the extended Phase I, they can extend again, re-enter Phase II, or negotiate a successor arrangement. The architecture ensures that whatever they choose, they choose from a position of preserved gains, not from a position of collapsed trust.

Article 8 — No Automatic Termination

Under no circumstances does a Phase II deadlock automatically terminate the MOU or any of its annexes. The exit ramp of Article 8.5 remains the sole mechanism for orderly withdrawal.

The framework architecture explicitly excludes the following termination triggers:

- A Phase II deadlock does not terminate the MOU.
- A failure to complete the Kernel does not terminate the MOU.
- An arbitration ruling against one Party does not terminate the MOU.
- A mutual agreement to decline arbitration does not terminate the MOU.
- Extended Phase I does not terminate the MOU.
- Multiple consecutive extended Phase I periods do not terminate the MOU.

The only mechanism that terminates the MOU is the clean-break withdrawal of Article 8.5: 30 days' written notice, \$500M exit payment, no clawback of released funds. That mechanism remains available to either Party at all times, including during deadlock, cooling-off, consultation, arbitration, and extended Phase I. But it is a choice, not an automatic consequence.

This Article is the heart of the deadlock mechanism. It tells both Parties: you cannot walk away by default. You can only walk away by choice. The architecture removes the easy exit of "the talks failed, so the deal is dead" and replaces it with the harder but more durable exit of "I am choosing to leave on 30 days' notice." That difference — between default and choice — is what makes the architecture survive when other agreements collapse.

Article 9 — Relationship to Other Annexes

The table below specifies the operative relationship between this Annex and each relevant provision of the MOU architecture.

Annex / Provision	Relationship
Annex T Step-Back / Earn-Back	Step-back for bad-faith obstruction in Phase II follows Annex T tiered penalties. The Tier-2 step-back of Article 5.2 integrates into the Annex T ladder. Earn-back follows Annex T procedures: 14 consecutive clean days post-cure for Tier-2 reinstatement.
Annex O Arbitration	PCA arbitration follows the expedited procedures of Annex O, Article 6 (5–7 day ruling). The tribunal's composition, evidentiary rules, and enforcement mechanisms operate under Annex O. This Annex specifies the deadlock-specific referral triggers and remedies.
Annex Y Dual-Key Custody	Material remains under dual-key custody throughout any deadlock period. The cooling-off, consultation, arbitration, and extended Phase I phases do not affect custody arrangements. The IAEA and U.S.-designated agent retain their keys; Iran retains its key.
Annex Z / Annex Y.b Pathways	Pathway selection remains operative during deadlock. A Party that has selected a pathway continues to execute it during cooling-off and extended Phase I. Deadlock does not halt ongoing disposition; it only suspends the Kernel certification milestone.
Annex R.a Escalation Buffer	The 72-hour escalation buffer operates independently of the deadlock mechanism. A kinetic incident during deadlock triggers the buffer under its own procedures, not under this Annex. The deadlock mechanism and the escalation buffer are parallel safety valves.
MOU Article 8.5 Clean-Break Withdrawal	This Annex does not amend, expand, or restrict the clean-break withdrawal provisions. The 30-day notice, \$500M exit payment, and no-clawback rule remain unchanged. Deadlock does not accelerate, bypass, or modify the exit ramp.
MOU Article 11 Phase Transitions	This Annex supplements the transition timeline of Article 11.2 by adding the deadlock resolution ladder between Phase II entry and Phase II completion. It does not alter the entry criteria (75% sustained compliance) or the completion criteria (Kernel certification).
MOU Article 8.9 Partial Success Doctrine	This Annex reinforces the Partial Success Doctrine by providing a specific procedural pathway for the scenario where one module (the Kernel) stalls while others (Phase I tracks) continue. The Doctrine is the legal foundation; this Annex is the operational implementation.

Article 10 — Incorporation by Reference

This Annex is incorporable into any existing or future agreement through the following adoption sentence:

"The Parties adopt Annex D (Phase II Deadlock Mechanism) as an operative provision of this Agreement. This Annex establishes cooling-off, consultation, arbitration, and fallback procedures for resolving Kernel deadlock without terminating the MOU."

No amendment of the parent MOU is required for this Annex to enter into force. This Annex enters into force upon signature by both Parties or provisional application by exchange of diplomatic notes.

The entry-into-force mechanisms are:

1. **Signature:** Physical or electronic signature by the authorized representative of each Party, consistent with MOU Article 12.
2. **Provisional application:** Exchange of diplomatic notes confirming that each Party applies this Annex provisionally pending signature. Provisional application carries the same binding effect as signature for the duration of the provisional period.
3. **Automatic integration:** If this Annex is adopted by the incorporation sentence of paragraph 1 above, it enters into force simultaneously with the agreement that adopts it, on the terms specified in that agreement's entry-into-force provision.

The incorporation sentence operates as a self-executing adoption clause. No further act of either Party is required beyond the act that makes the adopting instrument binding. The Annex is designed to be adopted by a single sentence, keeping the incorporation process clean and efficient.

Definitions

For the purposes of this Annex, the following terms have the meanings set out below. Terms not defined here have the meanings given in MOU Article 1.6.

Term	Meaning
"Phase II deadlock"	A condition defined in Article 2.1: Phase II entry confirmed, Kernel milestones uncertified, and written deadlock notification filed with no path forward agreed within 30 days. Deadlock does not include technical delays, mutually agreed delays, step-back pauses, or single-pathway disputes where alternatives exist.
"Kernel"	The contained asymmetric concession pair of Phase II: Iran's verified neutralization of the 60% HEU stockpile and the United States' conversion of reversible relief into structural relief. The Kernel activates under Part B of the MOU.
"Cooling-off period"	The mandatory 90-day period that activates automatically upon issuance of a Deadlock Confirmation Certificate by the PCC. During this period, Phase I benefits continue unchanged, no Party accelerates withdrawal, and the PCC facilitates monthly discussions.
"Deadlock Confirmation Certificate"	A certificate issued by the PCC confirming that all three conditions of Article 2.1 are met and that the 30-day response window has expired without agreement on a path forward.
"Extended Phase I"	The automatic reversion to Phase I for an additional 365 days that occurs if the deadlock remains unresolved after arbitration (or if the Parties mutually decline arbitration). During extended Phase I, Kernel milestones are suspended but not cancelled, and all Phase I benefits remain in force.
"Bad-faith obstruction"	Conduct that demonstrates an intent to prevent Kernel completion without legitimate technical or policy justification. The arbitration tribunal determines bad faith based on the indicators listed in Article 5.2. Good-faith disagreement, even if intractable, does not constitute bad-faith obstruction.
"Re-Entry Agreement"	A mutual written agreement signed by both Parties during extended Phase I that specifies the terms on which Phase II resumes, including any adjustments agreed during the deadlock period and a revised timeline.

Political Pitch Matrix (Informative, Not Operative)

This Article is informative only and creates no legal obligation. It provides pre-cleared messaging for each audience, consistent with the performance-contingent messaging rule of MOU Article 1.7.

To the United States	To Iran	To Facilitators
"This Annex ensures that if Phase II stalls, we don't lose everything we've built. Phase I benefits continue — the enrichment cap, the dual-key lock, the open Strait of Hormuz, the escrow releases. We fall back to a proven framework, not to confrontation."	"This Annex protects Iran if the United States refuses to honor its Phase II commitments. Phase I benefits continue regardless — oil exports, SWIFT, frozen assets. The cooling-off gives us time to negotiate. The extended Phase I gives us a year of continued relief while we work out the disagreement."	"This Annex transforms the single greatest risk to the deal — Phase II failure — into a manageable procedural event. The architecture makes falling back safer than walking away. No automatic termination exists. Every pathway leads to continuation."
"The bad-faith determination creates real accountability. If Iran deliberately sabotages the Kernel, it faces graduated consequences. But genuine disagreement is protected — no penalty for honest deadlock, only for obstruction."	"The bad-faith determination protects Iran from false accusations. A tribunal must find specific indicators of obstruction — not just disagreement. Good-faith deadlock faces only a recommended resolution, never a penalty."	"The arbitration mechanism is fast — 5 to 7 days — and focused. It doesn't reopen the entire MOU; it addresses only the specific Kernel obstacle. The tribunal distinguishes between bad faith and genuine disagreement, which is essential for fairness."
"The extended Phase I is not a failure — it's a success. It means a year of verified compliance, continued economic relief, and open maritime transit while we negotiate. At the end of the year, we can extend again or re-enter Phase II. The architecture gives us options, not ultimatums."	"The extended Phase I preserves all of Iran's Phase I gains — the oil revenue, the asset releases, the open Strait. The Kernel is suspended, not cancelled. We can re-enter Phase II at any time by mutual agreement. The choice is ours, not imposed."	"No new institutions, no new costs, no new veto points. The PCC, the PCA, and the existing facilitation team handle everything. The deadlock mechanism uses existing bodies, existing procedures, and existing rules. It adds process, not complexity."

Signature Block

In witness whereof, the undersigned, being duly authorized by their respective governments, have signed this Annex D: Phase II Deadlock Mechanism.

Done at _____, this ____ day of _____, 2026, in duplicate in the English language.

For the United States of America:

Signature

Name / Title

Date

For the Islamic Republic of Iran:

Signature

Name / Title

Date

Witnessed by the Joint Secretariat (Muscat):

Signature

Date

The Architecture Makes Falling Back Safer Than Walking Away

Annex D — Phase II Deadlock Mechanism

Modular · Self-Contained · Incorporable by Reference